

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELTON INTERACTIVE, INC.
Complainant

VERSUS

FLEXPORT INTERNATIONAL LLC,
Respondent

RESPONDENT'S MOTION TO DISMISS AND FOR SANCTIONS

COMES NOW, Respondent, Flexport International, LLC ("Flexport"), by and through the undersigned counsel, and pursuant to 46 C.F.R. §§ 502.6(a), 502.72(b), 502.150(b) and 28 U.S.C. § 1927, hereby files this, its Motion to Dismiss and for Sanctions against Complainant Peloton Interactive, Inc. ("Peloton") and its counsels, and in support thereof, Flexport states as follows:

I. Preliminary Statement.

Since the inception of this litigation, and even before Peloton filed its Initial Complaint, Flexport has repeatedly sought from Peloton (and its counsel) any information concerning its claims against Flexport. This was not just a good faith effort to resolve an alleged dispute – Flexport simply had no idea what the claims concerned. This was because, during the Pandemic, Flexport bent over backwards to facilitate the movement of Peloton's shipments. To be clear, despite Peloton having severe capacity issues, and knowing full well the shortages of chassis, trucks and shipping containers, it continued to import shipments. It was Peloton that allowed the containers to sit at the port for weeks collecting demurrage – because it had no place to put them.

And it was Peloton that allowed the containers to sit outside at their facilities for weeks and months collecting detention because Peloton did not have the ability to unload them. But it was Flexport who did everything it could to find solutions for Peloton.

This is why Flexport has consistently maintained – to both Peloton and the Commission – that it genuinely did not understand what Peloton’s dispute was for each of the shipments at issue. Flexport billed detention and demurrage based on its rules tariff (as agreed to by Peloton), as expressly set forth in the parties’ agreements (which are alleged in the Amended Complaint to govern the transactions) – facts which are undisputed. The basis for Peloton’s dissatisfaction, (whether it was an incorrect rate, incorrect calculation of days, errors in billing) and the information associated with Peloton’s claim was requested numerous times by Flexport – prior to the complaint being filed, prior to the motion to dismiss being filed, and continuing to this very day.

Peloton, and its counsel, have continuously refused to provide any specific details as to any of Flexport’s “failures” or “violations” for any of the over 3,200 invoices, which Peloton asserts are subject to this Tribunal’s jurisdiction.¹ Peloton’s counsel’s position was that since the movements were “store door”, then Peloton should not have been responsible for any of the demurrage or detention charges, despite the fact that Peloton reviewed each invoice and paid same.

Yet, without disclosure of this information, not only is Peloton unable to support its claims against Flexport, but more importantly, Flexport is unable to prepare a proper defense to the claims. It has just recently been uncovered that Peloton’s counsel has deliberately concealed the very information Flexport has been seeking in favor of needless protracted litigation in a calculated effort to make this frivolous litigation as expensive and time-consuming as possible.

¹ As more fully set forth in Flexport’s Motion for Judgment on the Pleadings, Flexport maintains that more than 2,000 of the 3,200 invoices at issue – are time-barred.

II. Legal Standard.

Under 46 C.F.R. § 502.6(a), provides, in pertinent part:

The signature of a person admitted or qualified to practice before the Commission constitutes a certificate by the signer that the signer has read the pleading, document or paper; that the signer is authorized to file it; that to the best of the signer's knowledge, information, and belief formed after reasonable inquiry, the filing is well grounded in fact and is warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law; and that it is not interposed for any improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation. For a willful violation of this section, a person admitted or qualified to practice before the Commission may be subjected to appropriate disciplinary action.

46 C.F.R § 502.72(b) provides, in pertinent part”

(b) *Involuntary dismissal; effect.* If the complainant fails to prosecute or to comply with these rules or an order in the proceeding, a respondent may move to dismiss the action or any claim against it, or the presiding officer, after notice to the parties, may dismiss the proceeding on its own motion. Unless the dismissal order states otherwise, a dismissal under this subpart, except one for lack of jurisdiction or failure to join a party, operates as an adjudication on the merits.

46 C.F.R § 502.141 provides, in pertinent part:

(b) Initial disclosures. Except as otherwise stipulated or ordered by the Commission or presiding officer, and except as provided in this subpart related to disclosure of expert testimony, all parties must, within 7 days of service of a respondent's answer to the complaint or Order of Investigation and Hearing and without awaiting a discovery request, provide to each other:

(2) A copy, or a description by category and location, of all documents, electronically stored information, and tangible things that the disclosing party has in its possession, custody, or control and may use to support its claims or defenses, unless the use would be solely for impeachment;

46 C.F.R § 502.150 provides, in pertinent part:

(b) *Failure to comply with order compelling disclosures or discovery.* If a party or a party's officer or authorized representative fails or refuses to obey an order requiring it to make disclosures or to respond to discovery requests, the presiding officer upon his or her own initiative or upon motion of a party

may make such orders in regard to the failure or refusal as are just....An order of the presiding officer may:

- (1) Direct that the matters included in the order or any other designated facts must be taken to be established for the purposes of the action as the party making the motion claims;
- (2) Prohibit the disobedient party from supporting or opposing designated claims or defenses, or from introducing designated matters in evidence; or
- (3) Strike pleadings in whole or in part; staying further proceedings until the order is obeyed; or dismissing the action or proceeding or any party thereto, or rendering a decision by default against the disobedient party.

Additionally, actions by a party's counsel to unnecessarily delay and/or avoid the disclosure of information material to its claims undoubtedly constitute unreasonable and vexatiously multiplication of proceedings, which may result in sanctions. *See Martinez v. City of Chicago*, 823 F.3d 1050, 1057 (7th Cir. 2016); *see also* 28 U.S.C. § 1927 (Any attorney or other person admitted to conduct cases in any court of the United States or any Territory thereof who so multiplies the proceedings in any case unreasonably and vexatiously may be required by the court to satisfy personally the excess costs, expenses, and attorneys' fees reasonably incurred because of such conduct.).

III. Discussion.

This instant matter stems from Peloton's allegations that Flexport somehow violated the Shipping Act when it billed Peloton for detention and demurrage based on its rules tariff—which were agreed to by Peloton and expressly set forth in the parties' agreements. At every step, Peloton's counsel has engaged in – and forced Flexport to engage in – needless motion practice and caused countless delays prolonging the discovery process.

It is clear from the record that Peloton's original complaint lacked factual support for its allegations against Flexport. In response to Flexport's requests for Peloton's counsel to explain the basis for Peloton's claims, counsel for Peloton simply stated that he did not need to provide any

basis because Flexport agreed to “store door” terms and refused to amend Peloton’s complaint. Peloton’s complete lack of cooperation forced Flexport to file a motion to dismiss. Notably, the ALJ even noted in the Order dated September 25, 2024 that it would have been more appropriate for Peloton to have requested leave to amend the complaint rather than force motion practice and therefore ordered Peloton to amend its complaint.

Yet, the Amended Complaint still did not provide any details as to what issues were claimed with respect to each invoice or even any specific allegations of wrongdoing. Instead, Peloton made sweeping, generalized statements as to acts or omissions of Flexport, without any indication as to which act or omission applied to any specific invoice. Further, Peloton now included its Exhibit “A” to the Amended Complaint, which it specifically alleged contained all of the detention and demurrage charges which are in dispute.

Notably, Exhibit “A”:

1. Was not capable of being searched;
2. Was put together without any rhyme or reason (it was not organized by reference chronologically, by reference number, amount or otherwise;
3. Contained only a column for “D&D” without any delineation between detention and demurrage;
4. Did not provide the date of the invoice – only the month and year.

Furthermore, it was clear (despite not being able to be searched) that approximately two-thirds of the 3,200 invoices were time-barred. Upon review, many of the invoices which were said to be for D&D were in fact for other charges, including yard and warehouse storage. In fact, Peloton only just admitted that that the “D&D” claims listed in Exhibit “A” include **\$3,688,096** in charges for yard and warehouse storage.

a. The Audit.

In the course of the depositions taken in the last two weeks of March 2025, it was learned that Exhibit “A” was apparently created by counsel for Peloton. Ms. Majstorovic, as corporate representative of Peloton, testified that Exhibit “A” was created as a direct result of an extensive audit conducted by Peloton. (Ex. 3, Deposition of Peloton at 262:25 – 265:18). However, when questioned as to who created Exhibit A and how the information therein was gathered and organized, counsel for Peloton claimed that same was protected by the attorney-client privilege and work product doctrine. (Dep. Peloton, Ex. 3 at 169:2 – 172:15). As such, Flexport was unable to question Peloton’s corporate representative as to the Exhibit attached to its Amended Complaint which listed all of the invoices at issue in the litigation.

But apparently there are many more documents relating to this extensive audit which were not only never disclosed but deliberately concealed by Peloton’s counsel.

By way of explanation, Flexport recently took the depositions of four (4) of Peloton’s witnesses: David Baitman², David Beyar³, and Martina Majstorovic⁴. Ms. Majstorovic also served as Peloton’s corporate representative.⁵

In the course of this testimony, the following was discovered for the very first time:

1. That an audit of each Flexport invoice at issue in this case was undertaken by Peloton beginning in mid-2023 (Deposition of David Beyar, Ex. 1, at 41:15–21; Dep. Peloton, Ex. 3, at 28:15–17; Dep. of Martina Majstorovic, Ex. 4, at 44:25 – 45:2);
2. That Peloton prepared a spreadsheet, or Google Suite, as part of this audit, showing the

² The transcript excerpts from the Deposition of David Beyar referenced herein are attached hereto as Exhibit “1”.

³ The transcript excerpts from the Deposition of David Baitman referenced herein are attached hereto as Exhibit “2”.

⁴ The transcript excerpts from the Deposition of Martina Majstorovic referenced herein are attached hereto as Exhibit “4”.

⁵ The transcript excerpts from the Deposition of Peloton’s Corporate Representative referenced herein are attached hereto as Exhibit “3”.

results derived therefrom, along with each issue purportedly uncovered as pertains to each and every invoice (Dep. Beyar, Ex. 1, at 90:18 – 91:18, 160:25 – 161:15, 166:5–21; Ex. 3., at 77:2–10).

This audit was never disclosed and no document was ever identified or produced relating thereto. Instead, as counsel for Peloton stated on the record, this documentation was listed in Peloton’s privilege log. (Dep. Peloton, Ex. 3, at 120:24 – 121: 22). However, Peloton’s privilege log for these documents provided only as follows:

REVIEWID	To	From	CC	Privilege	Privilege Claim
FPFMC_CP002_000131301				Privileged Withhold	Attorney Client

That’s it. There is no indication as to what it is, who was involved, when it was produced, how many pages it contained, or what it concerned. Nothing.

Peloton – or rather more accurately its counsel – argued that this audit, and all documents derived therefrom, from every point in time, and which goes to the very heart of its case – is somehow privileged. It is noted that Peloton did not assert that this audit and its related records are work product, but only that this unknown collection of documents is somehow a privileged communication.

But it is far from clear that any attorney was involved with the production of these documents at all or, if so, when they became involved.

It is undisputed from the testimony that David Baitman was in charge of the audit. (Dep. Beyar, Ex. 1, at 42:8 – 10; Dep. Baitman, Ex. 2, at 172:25 – 173:12, 229:6 – 229:12). It is also undisputed that David Beyar was the primary employee who conducted the audit at the direction of Mr. Baitman. (*Id.*; see also Dep. Beyar, Ex. 1, at 41:15–21). Both Mr. Baitman and Mr. Beyar testified to these facts. (*Id.*) The question, however, is when counsels became involved – internal

and/or external.

Mr. Beyar testified first. Mr. Beyar was undisputably the primary person conducting the audit. (Dep. Beyar, Ex. 1, at 41:15–21). He testified clearly (despite his testimony being replete with evasive responses or non-responsive answers) that when he compiled the Google Suite documents it was not upon the instructions of attorneys at Peloton, either internal or external. (Dep. Beyar at 165:2 – 25). Rather, Mr. Beyar made clear that he was reporting to Mr. Baitman. (Dep. Beyar, Ex. 1, at 42:8 – 18).

Mr. Beyar further testified that, when he was tasked to compile the Google Suite document, there was no mention whatsoever of any litigation against Flexport. (Dep. Beyar at 166:1 – 4).

Mr. Beyar further testified that the Google Suite document – which he prepared prior to any mention of litigation and not on the instructions of counsel, contained all of his notes for the shipments. (Dep. Beyar at 166:15 – 168:11).

Mr. Beyar also testified that the document was a “living document” and, as such, has been in production since the inception of the audit in September 2023. (Dep. Beyar, Ex. 1, at 198:3–9). Mr. Beyar also made it clear that Peloton engaged Flexport in communications regarding Peloton’s audit findings in **January or February 2024**. (Dep. Beyar, Ex. 1 at 157:8 – 157:25).

David Baitman corroborated Mr. Beyar’s testimony. He testified unequivocally as follows:

1. That he was in charge of the audit:

“It was completed, but I’m the one who started them auditing it. Like, I’m the one that directed the team to start the audit. I’m the one who directed the team what things to look for in the audit. I’m the one who sat with the team their first couple of audits to say, “Show me how you’re doing this.” And we agreed to what the process was.” (Dep. Baitman, Ex. 2 at 229:6 – 229:12).

2. That, after these discussions with Flexport (in January or February 2024) were unsuccessful, he suggested that Peloton discuss with in-house counsel the findings of

the audit. (Dep. Baitman, Ex. 2 at 186:12 – 189:1; 229:6 – 230:13; 272:10 – 273:1).

3. That the Google Suite document produced by Peloton from the audit contains each and every detention and demurrage invoice at issue in this litigation, as well as Peloton's notes regarding each. (Dep. Baitman at 166:5 – 21).

Seems clear so far. But then we come to Peloton's corporate representative, Martina Majstorovic, which took place a few days after Mr. Baitman's deposition. Ms. Majstorovic's responses were carefully orchestrated, deflective and non-responsive. But her testimony directly contradicted the testimony of Mr. Baitman and Mr. Beyar, both with respect to the directions on how to conduct the audit, the results, and when Peloton first contacted counsel.

Specifically, Martina Majstorovic, on behalf of Peloton, testified under oath as to the following:

1. That Peloton first contacted outside counsel Holland & Knight in September, 2023. (Dep. Peloton, Ex. 1 at 125:15 – 18).
2. That Mr. Baitman had advised her – in September 2023 – that he had been in contact with counsel regarding the audit. (Dep. Peloton, Ex. 1 at 58:3 – 61:6).
3. That she and Mr. Baitman met with outside counsel in October 2023. (Dep. Peloton, Ex. 1 at 92:1 – 92:15).
4. That Mr. Beyar was in contact with counsel regarding the audit between September and October 2023 and then into 2024. (Dep. Peloton, Ex. 1 at 89:11 – 90:20)
5. That the audit was conducted after consulting counsel. (Dep. Peloton, Ex. 1 at 124:7 – 125:1)
6. The audit sheet was done “in coordination” with counsel. (Dep. Peloton, Ex. 1 at 120:11 – 121:2)

7. That, after consulting with outside counsel, Peloton produced a “more extensive audit”.
(Dep. Peloton, Ex. 1 at 124:12 - 125:1)
8. The spreadsheet from the audit was a “work in progress” and was “produced in its extent with all the audit information post-discussions with counsel beginning in September through the latter half of 2023 and onwards.” (Dep. Peloton, Ex. 1 at 125:7 – 18).

So, there seems to be some confusion as to how this audit was conducted and when counsel was consulted regarding same. Either Mr. Baitman and Mr. Beyar (the key employees conducting the audit) or Ms. Majstorovic – as an individual, corporate representative, and the person who verified the Complaint, Amended Complaint and the interrogatory responses – were mistaken or were outright lying.

But in the end it does not even matter because it is clear that counsel for Peloton deliberately concealed the audit and any documents relating thereto. Peloton’s counsel either directed the audit, or knew about it after the fact, and had this knowledge (or lack thereof) in hand when they filed the initial complaint. The testimony unequivocally revealed that this audit and the related documents contained the very details of Peloton’s alleged issues with each of the subject invoices which Flexport had been asking for since prior to the filing of the complaint.

When questioned as to the documents from the audit – including any documents produced prior to the retention of counsel – Ms. Majstorovic (on behalf of Peloton) was again typically evasive and non-responsive. Ultimately – after being asked several times – she testified that all of the drafts of the documents (developed prior to retention of counsel) were “rolled up into the audit sheet” and deliberately not produced. (Dep. Peloton, Ex. 1 at 127:22 – 130:17).

And then we look at the interrogatory responses – particularly # 22 – which asked Peloton

to “Identify specifically Peloton’s internal review procedures with respect to the Subject Invoices”.

After asserting its numerous boiler-plate objections, counsel for Peloton responded:

Peloton responds that when an invoice was received from Flexport, the invoice would be uploaded into the Coupa software platform. Invoices in the Coupa platform would then be reviewed by a business process owner and any other necessary approvers. Peloton further responds that following internal discussions, Peloton decided to bring in dedicated internal resources for freight spend and audit in late 2022.

(Peloton’s Interrogatory Response to Flexport’s Interrogatory # 22, attached hereto as Exhibit “5”).

No mention was made at all of the audit at issue which commenced in August 2023.

Request for Production # 34 sought “all documents or spreadsheets generated by [Peloton] reflecting, for each Subject Invoice, the date of issuance of the invoice, the applicable house bill of lading number, the container number, and a breakdown of the charges owed (i.e. what the amount is for detention, demurrage, storage, transportation, etc.).

Peloton responded – after its plethora of objections (including that the term “spreadsheet” was vague and ambiguous) – “Notwithstanding the foregoing Objections, Peloton will produce relevant spreadsheet files and documents that contain shipment terms in the manner that Peloton maintained this information in the ordinary course of business.” (Peloton’s Response to Flexport’s Request for Production # 34, attached hereto as Exhibit “6”).

Of course, no audit or spreadsheets were mentioned or ever produced.

b. Peloton’s attorneys have directed the entire litigation and improperly coached its witnesses to conceal clearly relevant information and documentation.

On March 28, 2025, Ms. Majstorovic again testified, this time in her individual capacity. Again, Ms. Majstorovic was the individual who verified the initial complaint, the amended

complaint and the responses to interrogatories. Yet, when she was questioned as to whether she had made any independent assessment as to the validity of the facts as alleged in the complaint prior to signing the verification, Ms. Majstorovic was again evasive and non-responsive. In fact, the question was asked of her **six (6) times** before she finally admitted that she had not done so, other than with consultation with Peloton's counsel. (Dep. Majstorovic, Ex. 4 at 140 – 142).

Likewise, with respect to the interrogatory responses – which improperly referred to Peloton's entire document production – Ms. Majstorovic was asked whether she had done any independent assessment as to whether the information requested by the interrogatories was actually contained in the documents. (Dep. Majstorovic, Ex. 4 at 112:14–19). Ms. Majstorovic was again evasive, before finally responding that “to the best of my knowledge that was what was done in discovery.” (Dep. Majstorovic, Ex. 4 at 121:12 – 122:4). Yet, when it was pointed out that such was done after the fact and she was asked to clarify whether, at the time of signing the verification, she knew that the information was contained in the documents, Peloton's counsel objected and instructed her not to answer. (Dep. Majstorovic, Ex. 4 at 122:6 – 25).

Counsel for Peloton then actually testified that “when we provided an answer to an interrogatory, it is a **counsel answer**.” (Dep. Majstorovic, Ex. 4 at 124:10 – 12).

So, to be clear, prior to signing the Initial Complaint, the Amended Complaint and the Interrogatory responses, Peloton made no independent assessment as to the validity of the assertions made therein, but instead relied entirely on the information provided to it by counsel. Thus, when the interrogatory sought Peloton's internal review procedures regarding the invoices, it was counsel which made the decision to deliberately not disclose the audit which commenced in 2023. Counsel only identified the system which processed the invoices, and that in 2022 Peloton was considering retaining an outside vendor to conduct an audit. This is deceit and misdirection,

plain and simple.

Even in responding to discovery, counsels for Peloton unnecessarily delayed the process requiring the ALJ's intervention again and again. Peloton's counsel asserted numerous boilerplate objections to each and every discovery request, including the most basic of questions such as the identity of witnesses and the factual bases for the claims. In the instances where Peloton did provide a response, same was always provided "subject to" the foregoing frivolous boilerplate objections. At the hearing on March 25, 2025, the ALJ rejected the use of boilerplate objections, noting that, if evidence is admissible, the parties need to provide it and also rejected the use of responses which are "subject to" the objections.

Moreover – and of utmost importance – the Order issued after the hearing mandated that Peloton specifically identify each and every document which it contended was responsive to each interrogatory and request for production. [Doc.47].

Now – a month later – Peloton still has not provided this information or any supplemental responses at all. In fact, the undersigned requested, multiple times, when the supplemental responses would be provided. Counsel for Peloton has refused to even provide an estimated date.

The ALJ is well aware of Peloton's failure to provide any meaningful responses to discovery which sought the identification of specific documents rather than just a blanket reference to all 30,000 pages of their production.

And to make matters even worse (if possible), after the ALJ's Order was entered, Peloton's corporate representative continuously refused to identify even a single document in support of Peloton's claims, but merely referred to the entire documents production. In the course of that deposition, the representative, Martina Majstorovic, was asked about specific information and documents. Instead of responding, however, Ms. Majstorovic was evasive and ultimately stated –

over a two dozen times – that Flexport could “find the answer” in the document production, in direct violation of the Order. The corporate representative’s robotic responses clearly were tailor-made to avoid any meaningful response. The below is a prime example:

Q. Can you identify specific instances where that was not the case?

A. I can give you an example of what we saw, but I do not have the exact Flex ID or container numbers.

Q. Can you give me that example, please?

A. Sure. We saw examples where we provided routing guidance to a final warehouse that a container should be moved and asked for it to be picked up from the port and moved as soon as it was made available. We would see, upwards of four weeks later, that that container had not been moved and had not been delivered to a DC, as guided by Peloton in the routed guidance report, and it would require us to follow up with the Flexport team in order to remind them to pick up the container, that we had exceeded our free time at that point, and were being charged unreasonably for demurrage.

Q. Can you identify specifically what shipment you're talking about?

A. As I said, we saw it across a few examples. I did not memorize the Flex IDs it was associated with.

Q. Okay. Do you have a record of these Flex IDs that it was associated with?

A. We produced an extensive list of documents within our discovery. **You can reference discovery production to find those.**

Q. Okay. You said that there are examples of these instances, so I'm asking you to identify -- I'm asking Peloton to identify these specific instances.

MR. NOLAN: Objection; asked and answered. You can continue.

A. As I said, we provided exhaustive discovery process and provided over 20,000 documents. The relevant documents are all in our discovery.

Q. Okay. Can you please point me to them?

MR. NOLAN: Objection; asked and answered. You can continue.

A. As I said, we went through an extensive discovery process and produced relevant documents to Flexport. You can reference the Bates log that was produced by the Peloton team in January 2025. It lists specific sections where you can find relevant documents.

Q. You're here today to testify as to Peloton's document production and response to interrogatories; is that correct?

A. That's correct.

Q. Okay. So you just stated that there were specific examples. You said you could point to specific examples. But I asked you to identify those so we can look at them, and you are referring me to the entire document production. So I'm going to ask again. Sitting here right now, can you point to those specific examples in Peloton's document production?

MR. NOLAN: Same objection. You can continue.

A. As I said, we provided an exhaustive discovery process of documents, over 20,000 of them, as well as a detailed Bates log. **You can find all relevant documents there.**

Q. Okay. So the answer is no; is that correct?

MR. NOLAN: Objection; asked and answered.

A. That's not what I said.

Q. Okay. So I'm going to ask you again. Are you able to, right now, point me to those specific examples in Peloton's document production?

MR. NOLAN: Same objection. You can continue.

A. As I said, you can reference the relevant documents that were produced in the exhaustive discovery process, as well as the detailed Bates log Peloton provided.

Q. I know what I can do. I know what you think I can do. I'm asking what you can do at this deposition sitting here right now as Peloton's corporate representative. Are you able to point me to the document production for these examples that you're referring to?

MR. NOLAN: Same objection. You can answer.

A. **As Peloton's corporate witness, my testimony is that we provided an extensive document discovery process,** as well as a detailed Bates log that lists all the relevant documents. Flexport has access to these documents and can look through the Bates log in order to find the relevant documents.

(Dep. Peloton, Ex. 3 at 36:21 – 40:18).

And Peloton's counsel, well aware of the ALJ's Order, continued to object to the questions as being "asked and answered" when clearly no response was ever provided – only evasive non-responses.

It is abundantly clear from the deposition that Peloton's corporate representative was improperly coached not only to refer to the document production instead of responding (despite having no idea what the document production contained) but also to be completely evasive as to the questions being asked. The testimony is riddled with non-responses to questions, particularly with counsel's chosen term of "store door"⁶, which is riddled throughout the Amended Complaint

⁶ Although Ms. Majstorovic states below that the term "store door" is an industry term, there is no reason that a shipper such as Peloton would know that. The below testimony is provided to highlight that this is counsel's term, not Peloton's, and is indicative of the improper coaching provided by counsel. A search of the FMC Reading Room of the term "store door" reveals that it has only been used in documents submitted in five (5) other proceedings – and all of those cases were filed by counsels for Peloton, and all within the last 2 and a half years. See 22-30, 23-01, 24-16, 24-17 and 24-23. The term "store door" was used by Mr. Beyar (who was not even involved in ocean transportation), Mr. Baitman, and by each of the three experts designated by Peloton in this case.

and in multiple motions, and which Peloton specifically (and erroneously) contended was term used by Flexport in its own tariff. [Doc. 11 at p. 3 n. 2]. The following was typical of the testimony:

Q. And what document identifies the term "store door" in Peloton's document production?

A. You'll see on the through bills of lading, as well as ocean freight instruction forms on Flexport's tracking portal, as well as on numerous quote documentation from Flexport, that we had identified these shipments as port to door, and asked Flexport to move the goods via ocean transport and then inland transport to their final destinations.

Q. So by your explanation, I heard the words "port to door," but not "store door." So is it safe to say that the term "store door" is not present in any document provided by Flexport to Peloton?

A. As I said, the terms are used interchangeably.

Q. Okay. Where in any document provided by Flexport do you see the word -- the term "store door"?

A. As I said, the terms are used interchangeably on our instructions and on the through bills of lading, as well as on quotes coming from Flexport, and Flexport's tracking portal. You can see that the freight terms were listed "port to door."

Q. Okay. Port to door, not store door; is that correct?

A. They are used interchangeably.

Q. By whom are they used interchangeably?

A. It is an industry-standard term. Both are industry-standard terms.

Q. On what basis do you make that pronouncement?

A. By having a background in transportation.

Q. So what is Peloton's understanding as to the industry term of "store door"?

A. As I said, store door terms outline movement of goods via ocean transport, along with inland transport to a final destination. It is used interchangeably with the freight term "port to door."

Q. So Peloton uses the term "store door" as well as the term "port to door" in its business transactions. Is that your testimony here today?

A. The terms are used interchangeably.

Q. Okay. So just a simple yes or no. Has Peloton used the term "store door" in its business transactions?

A. As I said, the terms are used interchangeably. We utilize the term "store door." We utilize the term "port to door." They are the same.

Q. So you used the term "store door." It's really just a simple question. I understand you use them interchangeably, but that means that you would use both terms. So my question was very simple. Does Peloton use the term "store door" in its business transactions?

A. As I said, we use both terms interchangeably. We use "store door" and we use "port to door."

Q. Okay. Is there any Flexport document that used the term "store door," not "port to door" - store door -- those specific terms?

A. As I said, the terms are used interchangeably and that's an industry-standard definition. Port to door are the terms that are typically listed on a through bill of lading, which we would have received from Flexport, as well as in all the documents that listed the movement of goods -- or that Flexport performed for us -- which were ocean transport and inland transport to final destination.

Q. So there is no document from Flexport to Peloton that uses the term "store door." Is that correct?

Q. -- isn't it true that there is no document from Flexport to Peloton that uses the term "store door"?

A. Can you ask the question again? It got lost in the shuffle.

(Dep. Peloton, Ex. 3 at 99:15 – 105:3)

And despite Ms. Majstorovic having been non-responsive, she still responded to questions – **125 times!** – beginning with the robotic phrase “As I said...”

Counsels’ improper coaching of witnesses is reflected in testimony of the other witnesses as well. For example, Angad Gadhok testified that he was specifically instructed by counsel not to review a single document prior to his deposition. (Dep. Angad Gadhok, Ex. 7 at 171:22- 172:8). Then he testified **119 times** that he did not recall the answers to the questions being asked.

With respect to Mr. Beyar, he testified that the only documents that he reviewed in preparation for his deposition were those provided to him by counsel – which he was prevented from disclosing by counsel. (Dep. Beyar, Ex. 1 at 220:23 - 222:12).

So what we are seeing here is the following:

1. Counsels were either retained in September 2023 or February 2024;
2. Counsels either directed the audit or they did not;
3. Counsels refused to provide any information contained in the audit, despite many, many requests from Flexport for any information as to the dispute;

4. Counsels deliberately concealed the very existence of the audit and any documents relating thereto;
5. Counsels prepared Exhibit A to the Amended Complaint;
6. Counsels provided ALL of the information to Ms. Majstorovic upon which she verified the Initial Complaint and the Amended Complaint – Peloton did not conduct any independent assessment as to the validity of the allegations; and
7. Counsels provided ALL of the information to Ms. Majstorovic upon which she verified the interrogatory responses – Peloton did not conduct any independent assessment as to the validity of the responses – including confirming that the information sought was actually contained within the document production.

But even if the audit and its documents were somehow privileged (or work product), Peloton still cannot refuse to provide them – as they clearly go to the very heart of their case.

It is well-established that “[u]nder the sword and shield doctrine, a party who raises a claim that will necessarily require proof by way of a privileged communication cannot insist that the communication is privileged.” *Allstate Ins. Co. v. Levesque*, 263 F.R.D. 663, 667 (M.D.Fla.2010) (citing *GAB Bus. Servs., Inc. v. Syndicate* 627, 809 F.2d 755, 762 (11th Cir. 1987));

Under the sword-shield doctrine, “work product protection is waived when ... a party possessing the documents seeks to selectively present the materials to prove a point, but then attempts to invoke the privilege to prevent the opponent from challenging the assertion. *In re Application of Chevron Corp. v. 3TM Consulting, LLC*, No. MC H–10–134, 2011 WL 13135155, at *3 (S.D. Tex. Jan. 10, 2011) *see also Conkling v. Turner*, 883 F.2d 431, 434 (5th Cir. 1989) (noting, in the context of attorney-client privilege, that waiver occurs when the litigant “ ‘place[s]

information protected by it in issue through some affirmative act for his own benefit’ “because ‘to allow the privilege to protect against disclosure of such information would be manifestly unfair to the opposing party.’” (*quoting Hearn v. Rhay*, 68 F.R.D. 574, 581 (E.D. Wash. 1975) (other citations omitted)).

That is exactly what is occurring here – as indicated by Exhibit “A” to the Amended Complaint. Peloton wishes to use the findings of the audit to bring forth the instant claims against Flexport, but is claiming that the documents are privileged so that Flexport is not able to properly challenge the claims.

“When an abuse has occurred under this doctrine, courts may invoke a variety of sanctions, including preventing the withholding party from unfairly prejudicing the other party by precluding the introduction of evidence previously withheld on privilege grounds, ..., or ordering that the party’s failure to produce the evidence gives rise to the presumption that the evidence is unfavorable.” *Kearney Partners Fund, LLC ex rel. Lincoln Partners Fund, LLC v. United States*, 946 F. Supp. 2d 1302, 1317 (M.D. Fla. 2013) (citations omitted).

c. Peloton and its counsel’s deliberate and multiple violations of the ALJ’s Order.

As set forth above, at the hearing on March 25, 2025, the ALJ outright rejected:

1. Peloton’s boilerplate objections;
2. Peloton’s responses to discovery which were “subject to” those objections;
3. Peloton’s reference to the entire document production in its responses instead of identifying specifically the responsive documents; and
4. Peloton’s claims that it is entitled to the underlying invoices and contracts between Flexport and the underlying service providers.

As outlined above, Peloton did not withdraw its objections and have still not provided supplemental responses – now a month later.

As also outlined above, after the order was entered, Peloton’s corporate representative continued to identify the entire document production in response and refused (or was unable) to identify any specific documents in support of any claim or contention – and counsel allowed her to do so and objected to the entire line of questioning. To be clear, the day before, at the deposition of Reid Breck, the entire Order was entered into the record.

But Peloton and its counsels’ actions are not limited solely to the depositions. On February 28, 2025, counsel for Peloton advised that it would be serving subpoenas against “an ocean carrier and a trucker for documents”.

When the undersigned pointed out that the written discovery had long since passed, counsel for Peloton responded “in light of the pending motion to compel and discovery issues, Peloton has good cause to seek documents through a third-party.” The undersigned has repeatedly requested copies of the subpoenas and any documents produced by the subpoenaed parties – but counsel for Peloton has ignored these multiple requests.

Flexport first learned of the scope of the subpoenas when the ocean carrier, Zim, filed its motion to quash. [Doc. 41]. In its Motion to Quash, Zim identifies the documents sought to include:

[A]ll documents reflecting nonprivileged communications (internal and external) with Flexport in connection with Peloton shipments and/or Demurrage and Detention charges in connection with Peloton shipments, including the movement of Peloton Shipments from January 1, 2020 to present; and (ii) all documents and records in connection with the Peloton Shipments, including all contracts for ocean transportation and/or contracts of affreightment, bills of lading and/or sea waybills, invoices, work orders, delivery orders, waiver or extension requests and responses, and payment records from January 1, 2020 to present.

Notably, the documents sought are specifically those which the Order said are outside of the scope of discovery, including the time frame of January 2020 – May 1, 2021 and the contracts and invoices.

As such, following the hearing, the undersigned demanded that counsel for Peloton: withdraw the subpoenas; advise the third parties not to produce the documents; and to produce any and all documents that have already been produced.

And, of course, counsel refused, stating “[t]he March 25 conference and March 26 Order do not address the subpoenas.”

d. Peloton and its counsel have unnecessarily protracted this frivolous litigation.

Again and again, counsel for Peloton has engaged in unscrupulous gamesmanship and has protracted this frivolous litigation to the detriment of Flexport and repeatedly demonstrating a contumacious disregard for Commission and its Rules.

As a perfect example is the request for a cease-and-desist order in the Complaint and Amended Complaint. Peloton (or rather counsel since Peloton admitted to not having undertaken any review of the allegations) knew full well that Flexport had not provided any services to Peloton within the jurisdiction of the Commission since mid-2022 and the parties no longer do business. This is clearly evidenced by the invoices in Exhibit “A”, which end in mid-2022.

Then in discovery, Peloton sought documents and information from 2020 forward – well before the applicable statute of limitations. Flexport properly objected to same and Peloton moved to compel. In its motion to compel, Peloton made its position clear that it was entitled to this additional discovery because it was seeking a cease-and-desist order in addition to reparations.

[Doc 32 at p. 5]

Again – all with the knowledge that Peloton had not done any business with Flexport within the jurisdiction of the FMC since 2022.

Peloton and its counsel then doubled-down on this position in its response to Flexport's motion for protective order – which challenged Peloton's Notice of Deposition of Flexport's corporate representative(s) which sought testimony concerning the period from 2018 through the present. [Doc. 46 at p. 1]

As such, Peloton and its counsel did not waiver from its position regarding the applicable period at issue due to the request for a cease and desist order, repeatedly asserting it in the amended complaint, its response to the motion to dismiss, response to the motion for judgment on the pleadings, its motion to compel, as well as its response to Flexport's motion for protective order.

At the hearing held on March 25, 2025, the ALJ strongly suggested that counsel for Peloton reconsider its position as to these claims. Peloton thereafter finally abandoned same. Of course, Peloton, in withdrawing the claims, still had to argue that they had a good faith basis to assert same, despite having absolutely no good faith basis or credibility. All of that was unnecessary.

IV. Conclusion.

We are now at the close of discovery and have commenced expert discovery, with briefing soon to follow. Flexport has expended hundreds of thousands of dollars defending what it has always maintained is a frivolous lawsuit. Flexport has been asking – over and over – for Peloton to identify its claims, and was repeatedly told by Peloton's counsel that Peloton did not need to do that. Now it turns out that there were documents, including spreadsheets, notes and who knows what else, detailing each and every claim at issue in this lawsuit – what Flexport purportedly did or did not do for each shipment. These were not identified in initial disclosures. The response to request for production indicated that all such documents would be produced – but none were. The

responses to interrogatories were evasive and incomplete and did not identify either the audit or any documents or actions at all relating thereto. Apparently, the audit documents were identified in a single line in the privilege log, marked only with an identification number and “privileged”.

In depositions, counsel refused to allow questions relating to the documents developed from audit. And there is still a complete lack of clarity as to when counsel was retained to determine whether these documents could actually be protected. And even then, counsel cannot use the privilege as a shield and at the same time the sword to bring the claim in the first place.

What does the audit reveal? Flexport has no idea. But why wouldn't Peloton produce it? Either the audit completely undermines Peloton's claim (which is likely) or it complete supports the claims. If it is the latter, then when does Peloton intend on using it – in its brief?

The truth lies with counsel's assertions early on, and throughout the course of this litigation – that he did not need to provide details of its claims.

And as a result of counsel's belief – and their deliberate actions in concealing the audit and coaching their witnesses regarding same – Flexport has expended an enormous amount of time and effort defending these claims. Flexport has bent over backwards, searching its systems for responsive documents, all the while knowing full well that all of the demurrage and detention charges at issue in the litigation were directly caused by Peloton. And this is precisely what the discovery has revealed. Yet, Peloton and its counsel persist in the claims and their games.

So what is the proper remedy here? Peloton could be ordered to produce the documents. But that would do nothing. The entire litigation has been tainted by the actions of Peloton and its counsel. Had Flexport been provided this information in the first place the litigation could possibly have been avoided altogether. Clearly Flexport's defense of the claims would have changed.

Perhaps motion practice would have been unnecessary. And clearly discovery, including depositions would need to be completely repeated.

No, these egregious actions warrant nothing less than dismissal of the entire claim and sanctions against Peloton and its counsel for all fees and expenses incurred. Peloton has failed to comply with Commission's Rules and the ALJ's Order, which alone warrant dismissal under 46 C.F.R. § 502.72 and 502.141(2)(b).

Like other federal tribunals, the Commission also has inherent authority to control the proceedings and sanction misconduct when appropriate. *See Chambers v. NASCO, Inc.*, 501 U.S. 32, 50 (1991) (federal courts' "inherent authority" to control proceedings including sanctioning misconduct by counsel); *Fellheimer, Eichen & Braverman, P.C. v. Charter Technologies, Inc.*, 57 F.3d 1215, 1224 (3d Cir. 1995). As more fully set forth above, the actions and omissions by counsel for Peloton in the instant matter demonstrate a repeated pattern of misconduct warranting sanctions.

Counsel for Peloton has unreasonably and needlessly protracted this proceeding and the discovery process with a blatant disregard for its discovery obligations or the rules and time of the Commission. Flexport respectfully moves this Tribunal for an Order dismissing all claims with prejudice and appropriate sanctions as outlined above against Peloton and its counsel, together with any such other relief the Commission deem just and proper.

Dated: April 25, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on April 25, 2025 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.